

Power Grid Corporation of India Ltd (POWERGRID)

ROE	19.0%
ROCE	13.2%
CFO Quality	High Quality
Capital Allocation	Shareholder Returns

Strengths

- Strong free cash flow generation over 5 years signals healthy business fundamentals.
- Operating profit margin above 25% indicates strong pricing power and cost discipline.
- Sustainable dividend payout backed by positive free cash flow.
- Revenue growing slower than profits shows improving operating leverage and scale benefits.

Risks

- Total debt exceeding 3 times operating cash flow limits financial flexibility.
- Revenue growing below 5% CAGR over 5 years suggests limited business momentum.